to pay her bills. No longer able to use credit as an extra source of income, she decided to get a part-time job in the evening to replace the money that was no longer available from lines of credit.

The extra hours she now worked each week were exhausting on top of her full-time job. She felt trapped and unable to escape this world of constant work. After about a year of working two jobs, Perla had succeeded in paying down her credit cards enough so that one job could now handle the payments. Perla learned the hard lesson that credit is not something to be handled recklessly.

Perla could have avoided her world of constant work. First, she needed to get into the habit of paying her bills with her own money and not with the false income obtained from her credit cards. Having to rely on her credit cards to pay the basic necessities in life (groceries, gas for her car, utilities, and tax obligations) should have been a warning sign that she was overextended. An even bigger warning sign became evident when Perla had to resort to cash advances from other credit cards in order to pay off her original credit card debt.

To get out of the vicious cycle that continual borrowing had gotten her into, Perla should have constructed a budget as a first step. A budget will show you how much your expenses exceed your income. This information will give you a strategy to start living within your means. You can then follow these steps to get out of debt:

1. Immediately stop charging anything additional on credit cards.
2. Find out how much is owed.
3. Pay more than the minimum payment.
4. Send in payments as soon as the bill is received (every extra day you carry a balance, your interest charges may accumulate).